Aishwariya Flavour Food Pvt Ltd vs Nikhil Bhardwaj And Anr on 18 February, 2026

IN THE COURT OF JUDICIAL MAGISTRATE FIRST CLASS
(CENTRAL)
NI ACT- 05, CENTRAL DISTRICT, TIS HAZARI COURT, DELHI

Presided over by- Sh. Arjun Kirar

CC No.137/2020
UNIQUE CASE ID: DLCT02-032059-2019

In the matter of:-

ASHWARIYA FLAVOUR FOOD PVT. LTD.
Through its director Sh. Pradeep Kumar Soni,
S/o Lt. Sh. Rajendra Prasad,
At 81, Shyam Lal Road, Near Hindi Park,
Daryaganj, New Delhi- 110002 .....Complainant

VERSUS

1. Sh. NIKHIL BHARDWAJ

2. Ramdoot Hospitality Pvt. Ltd.
Through its director/chariperson/
signatory/authorised representative,

Both at Ground floor, shop no.33,
CSC, Shakti Apartment,
Paschim Vihar, West Delhi- 110063 .....Accused

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Date of institution	:	10.01.2020
Offence complained of or proved	:	Section 138 NI Act, 1881
Plea of accused	:	Not guilty
Date of filing	:	23.12.2019
Date of decision	:	18.02.2026
Final Order	:	Convicted

Argued by: Sh. Prince, Ld. Counsel for complainant.
Ms. Preeti, Ld. Counsel for accused.

JUGDMENT

BRIEF STATEMENT OF REASONS FOR THE DECISION:-

FACTUAL MATRIX-

1. Shorn off the unnecessary details, the core facts of the case of the complainant which need recital are as follows:-
Complainant is a company registered under the Companies Act. The accused no.1 is the director of accused no.2 i.e Ramdoot Hospitality Pvt. Ltd. Accused no.1 purchased some machines from the complainant for Rs.18,88,000/-. In March, 2019 the accused initially gave Rs.4,00,000/- through the account of one of his relatives and after that in April, 2019, the accused further paid Rs.12,00,000/- to the complainant and took possession of the machineries. In September, 2019 Accused approached the complainant for issuance of Bill and for the same complainant issued to the accused tax invoice bearing no. D-060 dated 02-09-2019. Thereafter complainant requested the accused to clear the remaining amount of

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Rs.2,88,000/- for which accused sought one month time from the complainant. After the lapse of one month, the accused no.1 finally in order to fully discharge his liability issued one cheque bearing no 011641 dated 10-10-2019 for an amount of Rs.2,88,000/- in favour of the

complainant which on presentation got dishonoured. Hence the present complaint has been instituted.

2. On 18-01-2023 substance of accusation was stated to the accused and his plea of defence was recorded. He stated that the cheque in question bears his signatures and the other particulars on the same are also filled by him. He stated that the accused company had purchased machine for Rs.18,88,000/- from the complainant and paid Rs.16,00,000/-. Rs.2,88,000 were due towards GST charges, however the machine supplied by the complainant was defective and he asked the complainant to repair the machine; however, the complainant lingered on the matter. Thereafter, the accused himself got the machine repaired after spending about Rs.3,00,000/- to Rs.3,50,000/- on it. He stated that he had received the legal demand notice.

3. In order to substantiate his claim, Sh. Pradeep Soni examined himself as CW-1 and tendered his evidence by way of affidavit Ex CW1/A and relied upon the following documents:-

1. Ex.CW1/1: Board Resolution.
2. Ex.CW1/2: Certificate of incorporation.
3. Ex.CW1/3 and Ex.CW1/4: Copy of bank statements.
4. Ex.CW1/5 (OSR): Copy of tax invoice.
5. Ex.CW1/6: Cheque bearing no. 011641.

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6. Ex.CW1/7: Bank returning memo. KIRAR

7. Ex.CW1/8: Copy of legal Notice.
8. Ex.CW1/9 to Ex.CW1/10: Postal receipts.
9. Ex.CW1/11 to Ex.CW1/12: tracking reports.
10. Ex.CW1/13 to Ex.CW1/14: Received back Envelopes.
12. Ex.CW1/15: Complaint.

CW-1 was cross examined at length by Ld. Counsel for the accused. No other witness was examined on behalf of the complainant and CE stood closed on 02-09-2024.

4. Statement of accused person under section 313 CrPC r/w section

281 CrPC was recorded. He stated that the cheque in question bears his signature. However, the other particulars on the same are not filled by him. He further stated that he had purchased machines from the complainant for a sum of Rs 16 lakhs + Rs 2,88,000/- (GST) out of which Rs 16 lakhs have already been paid to complainant. He issued the cheque in question as security for the said purchase. He further stated that upon delivery of the machines, it was noticed that the machines were defective. He requested the complainant to fix the machines, however the same were not fixed. The said machines were of no use to him considering that they were defective. The complainant has misused the cheque in question and he has no liability towards the complainant. The accused further expressed his willingness to lead defence evidence.

5. Accused entered the witness box as DW-1. He was examined in chief and thereafter cross-examined extensively by Ld. Counsel for the Complainant. No other witness was examined on behalf of the accused and DE stood closed on 23-07-2025.

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6. Arguments heard at length from both sides. Record perused.

7. At the outset, it worths a mention that to bring home the guilt of the accused, the complainant has to prove beyond reasonable doubt elements of Section 138 Negotiable Instrument Act by crossing the following legal benchmarks :-

a) The cheque was drawn by accused /drawer on account maintained by him with the banker for payment of any amount of money out of that account to the complainant.

b) The said payment was made for discharge of his legally and enforceable debt or other liability, in whole or in part.

c) The said cheque was returned unpaid by the bank.

d) The cheque was presented before the bank within a period

of three months from the date on which it was drawn or within a period of its validity, whenever is earlier.

e) The payee or the holder in due course of the cheque, as the case may be, made a demand for the payment of the said amount of money by giving the notice in writing to the drawer of the cheque within 30 days of receipt of information by him from the bank regarding the return of the cheque as unpaid.

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f) The drawer of the cheques fails to make the payment of the said amount of money to the payee, or, as the case may be, to the holder, in due course of cheque within 15 days of the receipt of the said notice.

Further, a combined reading of section 118, 139 and 146 of NI Act provide a bunch of presumption in favour of complainant, which are as follows :-

i) The cheque was drawn/transferred/accepted for consideration.

ii) Holder of the cheque has lawfully received the cheque, meaning thereby that the holder was in lawful possession of the cheque.

iii) The cheque was given in the discharge of any debt or liability.

iv) Legally enforceable debt or liability was in existence at the time of issuance of the cheque; (contrary view has been overruled by the three judges bench of Hon'ble Supreme Court in Rangappa V. S. Mohan decided on 07.05.2010)

v) The cheque was of the nature as described in Section 138;

vi) The cheque was drawn by the person who was maintaining the account

pertaining to the cheque.

vii) Amount of money mentioned in the cheque was intended to be given;

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viii) The cheque has been dishonoured for the reason mentioned in the memo.

8. After analysis of the material on record it is undisputed position that the cheque in question was issued by the accused to the complainant and it bears the signatures of the accused. Further from the unrebutted testimony of CW1 qua presentation and dishonour of the cheque in question and unimpeached dishonour memo, the factum of presentment of the cheque within its period of validity and the factum of its dishonour stand established. Further in his plea of defence u/s 251 CrPC, the accused has admitted the receiving of the legal demand notice from the complainant. However the accused did not make the payment of the cheque amount within 15 days of receipt of legal demand notice, therefore cause of action against the accused arose and instant complaint was filed. Thus it is manifest that the complainant has complied all the mandatory requirements of Section 138 and Section 142 of NI Act. Since in the present case accused has unequivocally admitted his signature on the cheque in question, a presumption under Section 139 NI Act is drawn in favour of complainant to the effect that the cheque in dispute was issued by the accused for a legally enforceable debt.

9. At this stage, it is important to highlight the ratio of the decision by the Hon'ble Apex Court in the case titled as Rangappa vs. Sri Mohan, AIR 2010 SC 1898. In para 14 of the judgement, the Hon'ble Supreme Court has observed as herein below:-

> "In light of these extracts, we are in agreement with the respondent claimant that the presumption

mandated by section 139 of the Act does indeed Digitally signed by ARJUN ARJUN KIRAR include the existence of a legally enforceable debt KIRAR Date:

2026.02.18 15:05:25 +0530 CC No.137/2020 ASHWARIYA FLAVOUR FOOD PVT. LTD. Vs. Sh. NIKHIL BHARDWAJ AND ANR. Page no.7 of 13 or liability. To that

extent, the impugned observations in Krishna Janardhan Bhat (supra) may not be correct. However, this does not, in any way, cast doubt on the correctness of the decision in that case since it was based on specific facts and circumstances therein. As noted in the citations, this is of course in the nature of rebuttable presumption and it is open to the accused to raise a defence wherein the existence of a legally enforceable debt or liability can be contested. However, there can be no doubt that there is an initial presumption which favours the complainant. Section 139 of the Act is an example of a reverse onus clause that has been included in furtherance of legislative objective of improving the credibility of negotiable instruments. While section 138 of the Act specifies a strong criminal remedy in relation to the dishonour of cheques, the rebuttable presumption under section 139 is a device to prevent undue delay in the course of litigation. However, it must be remembered that the offence made punishable by section 138 can be better described as a regulatory offence since the bouncing of cheque is largely in the nature of a civil wrong whose impact is usually confined to the private parties involved in a commercial transaction. In such a scenario, the test of proportionality should guide the construction and Digitally signed by ARJUN ARJUN KIRAR interpretation of reverse onus clauses and the KIRAR Date:

2026.02.18 15:05:29 +0530 CC No.137/2020 ASHWARIYA FLAVOUR FOOD PVT. LTD. Vs. Sh. NIKHIL BHARDWAJ AND ANR. Page no.8 of 13 accused/defendant cannot be expected to discharge an unduly high standard of proof. In the absence of compelling justifications, reverse onus clauses usually impose an evidentiary burden and not a persuasive burden. Keeping this in view, it is settled position that when an accused has to rebut the presumption under section 139, the standard of proof for doing so is that of "preponderance of probabilities". Therefore, if the accused is able to raise a probable defence which create doubt about the existence of a legally enforceable debt or liability, the prosecution can fail. As clarified in the citations, the accused can rely on the materials submitted by the complainant and it is conceivable that in some cases the accused may not adduce evidence of his/her own".

10. Keeping in view the above legal discussion, the moot question before the court is whether accused has been able to successfully rebut the mandatory presumption of law either by bringing on record any positive evidence or by creating doubt in the veracity of the material brought forth by the Complainant. This court has meticulously perused the matter on record in the light of the legal bench marks as discussed. In the instant case this court is of the opinion that accused has failed to rebut the mandatory presumption of law by probabilising his defence and has also failed to controvert the story of the Complainant or to establish his own story. This opinion of the Court is based on the following observations:-

Digitally signed by ARJUN ARJUN Date:

KIRAR KIRAR 2026.02.18 15:05:35 +0530 CC No.137/2020 ASHWARIYA FLAVOUR FOOD PVT. LTD. Vs. Sh. NIKHIL BHARDWAJ AND ANR. Page no.9 of 13 • The whole case of the complainant is based on the premise that the accused purchased some machines from the complainant for Rs 18,88,000/- and gave Rs.16,00,000/- to the complainant. In discharge of his remaining liability of Rs.2,88,000/-, the accused issued the cheque in question which on presentation got dishonoured. The accused in his plea of defence u/s 251 CrPC stated that the accused company had purchased machine from the complainant for Rs.18,88,000/- and paid Rs.16,00,000/-. Rs.2,88,000/- were due towards GST charges, however, the machines supplied by the complainant were defective and he asked the complainant to repair the machines but complainant did not repair the same. It is significant to note that the onus to prove the said plea was on the accused. However, the accused did not lead any evidence in support of his plea. It is settled principle of law that mere taking a plea is no proof of it. Thus, the accused failed to prove the contentions raised by him. In his plea of defence u/s 251 CrPC, the accused stated that he has signed the cheque in question and has filled all particulars on the cheque in question. However, in his statement u/s 313 CrPC, he stated that he has signed the cheque in question; however, he has not filled any other particulars on the cheque in question. Thus, both the statements of the accused are contradictory and cannot be relied upon and has further created doubt on the version of the accused.

• The defence raised by the accused is that the machine supplied by the complainant was defective. It is significant to note that Section 16 of the Sales of Goods Act enshrines the principle of caveat emptor which means let the buyer beware. It requires the buyer to exercise reasonable care at the time of purchasing good. The buyer must see to it that the goods are free from any defect and are suitable for his purpose and later on, if the goods turn out to be defective or not suitable for the purpose, he CC No.137/2020 ASHWARIYA FLAVOUR FOOD PVT. LTD. Vs. Sh. NIKHIL BHARDWAJ AND ANR. Page no.10 of 13 Digitally signed by ARJUN ARJUN KIRAR KIRAR Date:

2026.02.18 15:06:11 +0530 cannot hold the seller liable for the same. Coming now to the facts of the case in hand, in the present case also the accused was required to properly examine the machine at the time of its purchase; however, the accused failed to do so. Thus, he cannot hold the seller liable for the defect, if any.

• Further, there was no agreement between the parties with regard to any defect in the machine. There were no terms and conditions of the parties as to the course of action in case of defective machine. Moreover, the accused has admitted in his cross examination that he had not sent any notice or complaint to the complainant with regard to the defective machine. He stated that he had informed the complainant through WhatsApp. However, the accused did not produce any WhatsApp communication on record. There is nothing on record that the accused had filed a civil suit seeking relief for the defective machine. Thus, it is difficult to accept the plea

of the accused with regard to the defective machine.

• The accused in his statement as DW-1 stated that the complainant presented the cheque given as security after filling amount and misused the cheque in question. It is settled proposition of law that if a cheque is issued to secure a payment and the payment is not done as promised and there is no understanding or agreement between the parties to defer the payment of the amount, the cheque would mature for presentation and the payee of the cheque would be entitled to present the cheque. Thus, bare defence that the cheque was issued as security bereft of proof of other facts as discussed is not a get-out-of-jail-free card.

• Accused has taken the stand that complainant misused his security cheque. However, no evidence either oral or documentary has been CC No.137/2020 ASHWARIYA FLAVOUR FOOD PVT. LTD. Vs. Sh. NIKHIL BHARDWAJ AND ANR. Page no.11 of 13 Digitally signed by ARJUN ARJUN KIRAR KIRAR Date:

2026.02.18 15:06:18 +0530 brought on record to show the efforts made by the accused either by filing any complaint before the concerned bank to invalidate the said cheque or before any other competent authority when he came to know about the alleged misuse of the said cheque by the complainant.

• A meticulous perusal of record reveals that the accused has not replied to the statutory notice under 138 of the act rebutting the allegations made by the complainant. The very fact that the accused has failed to reply to the legal demand notice lead to the inference that there was merit in the complainant's version. (Ref: Rangappa vs. Sri Mohan AIR 2010 SC 1898).

• Evidence adduced on behalf of the complainant remained unrebutted. On the other hand, apart from the mere ipse dixit version of the accused, no convincing and weighty evidence has been brought forth. Also, nothing persuasive has been adduced which can create doubt on the truthfulness and verity of material brought on record by the complainant. Thus, bare statement of accused without any proof has no probative value.

11. To recapitulate the above discussion, it is undeniably evident that the evidence led by the complainant remained uncontroverted. On the other hand, the accused has miserably failed to disprove the presumption either by bringing on record such facts and circumstances upon the consideration of which, the court may, either believe that the consideration did not exist or its non-existence was so probable that a prudent man would, under the cirucmstances of the case, act upon the plea that it did not exist or by punching the holes in the case of the complainant on the basis of the materials already brought on record by the complainant. Consequently, the accused has failed to probabilise his defence which creates doubt about the CC No.137/2020 ASHWARIYA FLAVOUR FOOD PVT. LTD. Vs. Sh. NIKHIL BHARDWAJ AND ANR.

Page Digitally no.12 of 13 signed by ARJUN ARJUN KIRAR KIRAR Date:

2026.02.18 15:06:24 +0530 existence of a legally enforceable debt or liability as nothing probable has been brought on record to negate the factual basis established by the complainant by bringing on record unrebutted and unimpeached evidence.

Resultantly, the accused no.1 namely Nikhil Bhardwaj and accused no.2 Ramdoot Hospitality Pvt. Ltd., are hereby convicted of the offence under section 138 of the NI Act. Announced in the open court.

Copy of judgment be given free of cost to the convict. On 18.02.2026. Digitally signed by ARJUN ARJUN KIRAR Date:

KIRAR 2026.02.18 15:05:41 +0530 (ARJUN KIRAR) JMFC (NI Act)- 05/ Central District THC/Delhi/18.02.2026 Note- This judgment contains 13 pages and each page has been signed by me. Digitally signed by ARJUN ARJUN Date:

KIRAR KIRAR 2026.02.18 15:05:45 +0530 CC No.137/2020 ASHWARIYA FLAVOUR FOOD PVT. LTD. Vs. Sh. NIKHIL BHARDWAJ AND ANR. Page no.13 of 13